

**State Data Centre Policy Index (SDPCI): A 33-Incentive
Comparative Assessment of Data Centre Policies Across 17 Indian
States**

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4. Methodology

4.1 Research Design

The SDPCI follows a two-stage research design. The first stage is a structured, rubric-based scoring exercise. Each state is scored against 33 incentives, grouped into 5 dimensions, on a common 0 to 4 scale, and these scores are combined, under an equal-weighting default, into a single Composite Policy Index used to rank and classify all 17 states. The second stage is a Monte Carlo robustness check. Rather than treat the equal-weighting scheme as the only valid basis for ranking states, 20,000 alternative weighting schemes are simulated, and the resulting distribution of ranks is used to separate states whose position is structurally solid from states whose position depends heavily on the specific weights chosen.

This two-stage design was chosen deliberately. A single equal-weighted ranking is easy to communicate, but it hides an important assumption, that fiscal incentives, regulatory ease, infrastructure assurance, sustainability, and emerging support all matter equally to an investor deciding where to locate a data centre. In practice, different stakeholders are likely to weigh these dimensions differently. A finance-focused reader may care more about fiscal incentives, while an operations-focused reader may care more about power and water assurance. Rather than defend one fixed weighting scheme as correct, the research design treats the weighting choice itself as an open question and tests it directly, so that the report can tell readers which parts of the ranking hold up regardless of that choice, and which parts are sensitive to it.

The unit of analysis throughout is the state. Scores are not built up from individual projects or individual companies. Each state's policy text, or the relevant policy chapter where the state does not have a standalone Data Centre policy, is read as a single document and scored incentive by incentive. This keeps the exercise comparable across very different policy instruments, from a dedicated, multi-year data centre policy with numbered clauses, to a short chapter inside a general industrial policy.

4.2 Data Collection Methods

Indicator scores were built up from official government orders and gazette notifications wherever these could be located. Examples include Andhra Pradesh's G.O.Ms.No.9 dated 12 December 2024, Haryana's New Data Centre Policy 2026 gazette notification, and the respective notified policy texts of Odisha, Uttar Pradesh, West Bengal and Rajasthan.

Data collection followed a consistent sequence for every state. First, a search was carried out for the state's official gazette notification or government order establishing a dedicated Data Centre policy. Second, where no dedicated instrument existed, the state's broader industrial, IT or ITes policy was checked for data-centre-specific clauses, such as named incentive rates for data centre projects or a dedicated chapter. Third, each incentive was scored and cross-checked.

Each of the 33 incentives was scored from 0 to 4 and grouped into the five dimensions summarised in Table 4.1. Fiscal / Financial Incentives, the largest dimension, has 15 incentives; Regulatory / Procedural Incentives has 7; Infrastructure Assurance has 3; Sustainability and Green Incentives has 6; and Emerging / Other Incentives has 2, for a combined maximum of 132 points.

Dimension	Number of incentives	Maximum raw points
Fiscal / Financial Incentives	15	60
Regulatory / Procedural Incentives	7	28
Infrastructure Assurance	3	12
Sustainability and Green Incentives	6	24
Emerging / Other Incentives	2	8
Total	33	132

Table 4.1: The 33-incentive Scorecard, by dimension

4.3 Data Analysis Techniques

Composite scoring. For each state, the five dimension-level averages, each on a 0 to 4 scale, are combined using the default equal weight of 20 percent per dimension, and the result is scaled by a factor of 5 to produce a Composite Policy Index on a 0 to 100 scale. States are then placed into four bands based on this score, Established (60 to 79), Emerging (40 to 59), Nascent (20 to 39), and Not Yet Developed (0 to 19). No state scored in the top band, Leading (80 to 100), or in the Established band, in this round. The scaling factor of 5 follows directly from the arithmetic, five dimensions, each averaging up to 4 points, sum to a maximum of 20 points, and multiplying by 5 rescales that maximum to 100.

To test how much these rankings depend on the equal-weighting assumption, 20,000 alternative weight vectors, each with five non-negative components summing to 1, were drawn from a Dirichlet(1,1,1,1,1) distribution. This distribution is uniform over every possible weighting scheme and does not favour any one dimension over another, which makes it a neutral way to explore the full space of reasonable weighting choices rather than a small, hand-picked set of alternatives. For each of the 20,000 draws, a full composite score and rank was recalculated for all 17 states, producing a distribution of 20,000 possible ranks for every state. The spread of this distribution, shown as a boxplot in Figure 5.1 in Section 5.2, shows how rank-stable each state is. A narrow box means the state holds roughly the same rank no matter which weighting scheme is used. A wide box means its rank depends heavily on that choice.

A Dirichlet distribution was chosen over simpler alternatives, such as varying one dimension at a time while holding the others fixed, because it captures the full range of ways five weights can

trade off against each other simultaneously, while still guaranteeing that every draw sums to 100 percent. This is closer to how a real disagreement about weighting would look in practice, raising the importance of one dimension necessarily lowers the combined importance of the rest, and the Dirichlet draws respects that constraint on every trial.

Driver, or swing-factor, analysis. For each state, the Pearson correlation was calculated between that state's simulated rank across the 20,000 trials and each dimension's weight in the corresponding trial. Because a lower rank number means a better position, a negative correlation means that increasing a dimension's weight improves that state's rank, and a positive correlation means that increasing the weight makes the rank worse. The dimension with the most negative correlation for a given state is reported as that state's strongest upward swing factor, and the dimension with the most positive correlation is reported as its strongest downward swing factor (Section 5.3, Table 5.4). The same correlation matrix was also read dimension by dimension, to identify, for each of the five dimensions, which state stands to gain the most and which stands to lose the most if that dimension were given more weight.